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AIB AXYS AFRICA

Weekly Global Markets Note

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• Global Markets Commentary

- The S&P 500 registered its sixth consecutive week of gains, while other markets broadly closed in the green, save for the FTSE 100, amid high energy prices. Earnings growth has been a key driver, with tech and AI stocks leading the rally and doing the heavy lifting. The AI theme and the broader AI ecosystem continue to offer attractive opportunities as AI enters the next phase of development, with beneficiaries across industries expected to witness downstream capital flows.
- As key indices continued to post all-time highs, bond yields softened as the market monitored developments in the Middle East. Equities market performance suggests that investors are pricing in a potential deal between the US and Iran in the coming weeks. Severe economic pressure in both the US and Iran may compel the parties to accelerate negotiations towards a solid agreement. Back in the US, President Trump's approval ratings are declining, while US Polymarket data indicates that since the outbreak of the war in the Middle East, Democrats have increasingly become favourites to take control of the Senate. This would have implications for the Trump administration, as it could make it more difficult to push through key appointments such as Fed Governors and Cabinet members, who require Senate approval.
- On the data front, figures from the US Bureau of Labor Statistics showed that US non-farm payrolls came in higher than expected at 115,000 in April, beating estimates of 62,000, although down from 185,000 in March. At the same time, unemployment remained unchanged at 4.3%. This week, the market will turn its focus to inflation.

• Select Global Market Indices

Indices	Current	Previous	w/w % change
S & P 500	7,399	7,230	▲ 2.3%
DAX	24,339	24,292	▲ 0.2%
Nikkei 225	62,714	59,513	▲ 5.4%
Hang Seng	26,394	25,777	▲ 2.4%
FTSE 100 (FTSE)	10,233	10,364	▼ (1.3%)
Dow Jones	49,609	49,499	▲ 0.2%
Median			**▲ 1.3%**

Source: Investing.com AIB AXYS Research

- The global equities market closed with a median return of 1.3%, an improvement from the 0.2% recorded the previous week. In the US, the S&P 500 extended its winning streak, posting a weekly gain of 2.3%, as earnings growth continued to fuel the rally alongside strong gains in tech stocks. The Dow Jones added 0.2% for the week. Notably, key chip stocks Intel Corporation and Micron closed the week on a strong footing, climbing by 25.4% and 37.3%, respectively, on a weekly basis. Intel's rally was mainly supported by reports indicating that Apple had reached a preliminary agreement with Intel to manufacture chips for its devices, implying that TSMC may cease to be Apple's sole chip supplier.
- Crossing over to Europe, the FTSE 100 bucked the broader market trend to close down 1.3%, extending its losing streak to a third consecutive week, dragged by geopolitical instability in the Middle East. On the other hand, Germany's DAX rose marginally by 0.2%.
- Asian markets turned bullish, recovering from the previous week's losses, driven by gains in the tech sector and optimism surrounding AI. The Hang Seng and Nikkei, (*in a shorter trading week as markets remained closed during the Golden Week holiday),* advanced by 2.4% and 5.4%, respectively.

• Fixed Income:

Bond	Current	Previous	w/w change
US 10 Yr Bond	4.36%	4.38%	▼ (2.0bps)
UK 10 Yr Gilt	4.91%	4.97%	▼ (5.9bps)
Germany 10 Yr Bund	3.01%	3.04%	▼ (3.4bps)
Japan 10 Year Bond	2.48%	2.51%	▼ (3.0bps)

Source: Investing.com, Bloomberg, AIB AXYS Research

- Bond yields softened across key markets. In the US, yields on the 10 Year Bond eased by 2.0 bps to settle at 4.36%, as the market continued to enjoy the ceasefire between the US and Iran, alongside encouraging April employment data, which came in at 115,000, higher than the expected 62,000, while unemployment remained unchanged at 4.2%. Inflation data will be on investors' radar this week. The Fed is expected to keep rates unchanged in the upcoming meeting, with a rate cut only expected towards the tail end of the year or early 2027.
- Across Europe, the UK 10-year Gilt declined by 5.9 bps to 4.91% from 4.97% the previous week, while Germany's 10-year Bund saw yields decline by 3.4 bps to 3.01%. Both the Bank of England and the European Central Bank are expected to lean towards rate hikes in upcoming meetings to counter inflation.
- Japan's 10-year government bond yield eased by 3.0 bps to 2.48%. The market will be paying attention to the Bank of Japan's guidance on monetary policy. There are increasing odds that the BOJ may consider rate hikes if inflationary pressures persist.

• Currencies:

Currency	Current	Previous	w/w change
AUD/USD	0.7247	0.7206	▲ 57bps
USD/JPY	156.670	157.060	▼ (25bps)
GBP/USD	1.363	1.358	▲ 43bps
EUR/USD	1.179	1.172	▲ 55bps
US Dollar Index	97.78	98.01	▼ (23bps)

Source: Investing.com AIB AXYS Research

- Despite encouraging non-farm payroll data, the US dollar closed lower on Friday, as evidenced by the US Dollar Index, which lost 23 bps against a basket of currencies to close the week at 97.78. During the week, the Japanese yen and the euro gained by 25 bps and 55 bps, respectively.

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